

Multiple Choice (10 marks)

1. Why is it difficult sometimes to define monopolistically competitive industries?
 - (a) Product differentiation and loss of perfect substitutability
 - (b) Barriers to entry and exit in the market
 - (c) High consumer loyalty to a single brand
 - (d) Lack of government regulation
 - (e) Constant production costs regardless of output levels
2. Common stock or bonds are considered more liquid assets than an automobile. What would be the reason for this?
 - (a) Automobiles depreciate faster
 - (b) Stocks and bonds are physically smaller
 - (c) Automobiles are more expensive
 - (d) Highly efficient and fast markets exist for stocks and bonds
3. Suppose a price floor is installed in the market for coffee. One result of this policy would be
 - (a) a decrease in the price of coffee.
 - (b) an increase in consumer surplus due to lower coffee prices.
 - (c) a persistent shortage of coffee in the market.
 - (d) a decrease in the demand for coffee.
 - (e) a decrease in consumer surplus due to higher coffee prices.
4. A consequence of a price floor is
 - (a) an elimination of consumer surplus.
 - (b) a decrease in the demand for the good.
 - (c) a decrease in producer surplus.
 - (d) a persistent surplus of the good.
 - (e) an increase in total welfare.
5. Households demand more money as an asset when
 - (a) the demand for goods and services decreases.
 - (b) the stock market crashes.
 - (c) bond prices fall.
 - (d) the nominal interest rate falls.
 - (e) the unemployment rate rises.

True / False (10 marks)

Answer True or False

6. True or False: An ARMA(p,q) model has both the autocorrelation and partial autocorrelation functions that are zero after q lags.
7. True or False: The kinked demand curve is characterized by a discontinuous demand function with a segment that is elastic and another that is inelastic.
8. True or False: When price discrimination occurs, consumer surplus decreases as firms capture more of the consumer surplus.
9. True or False: Investment demand most likely increases when the stock market experiences a downturn, as investors seek safer assets.
10. True or False: Required reserves must be held exclusively in a bank's vault and cannot be deposited at the Federal Reserve.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the goals and economic rationale of the late nineteenth-century single-tax movement inspired by the Ricardian theory of land rents.
12. Discuss the relationship between demand for stocks and bonds and the asset demand for money, analyzing how changes in one affect the other in financial markets.

End of Paper